Chapter Twenty-Five

State of Education, Health and Nutrition

Economy of Education

Imparting education is an important economic service that serves two basic functions. First, it make people learn about self, society and geophysics to live a quality life. Second, it imparts skills and knowledge to optimize inherent talent to produce goods and services to add maximum economic value. The economy of education revolves around the institutions, teachers and infrastructure that enable and deliver these two services.

The first kind of education, often called ‘general education’, has a lot of externality in that it not only benefits the recipient but society at large, as such an educated person can harmonize their life with other members of society and become a responsible and contributing member of the community. The tools to deliver general education are language, literacy and computing. Such education services, especially to children, are usually paid for by the government or community. The economy of general education is more part of the public and charitable economy although in many parts of world, and India, general education has also become a private economic function.

The second kind of education is more a private service. It involves imparting and obtaining skills and knowledge to produce economic goods and services. Different skill and knowledge sets equip the recipient to deliver very different quantum of value added, which leads to differential payment. More common skills where supply is more than demand tend to deliver lower compensation. Skills that deliver higher value get higher compensation. As such education (skills and knowledge) primarily